

Financial Analysis Report

1. Liquidity Analysis

Current Ratio trending and alerts: May 2024: 1.15 (1,048,099,415.52 / 910,113,204.75)
• April 2024: 1.16 • **Alert:** Ratio declining slightly, approaching minimum acceptable threshold

Quick Ratio / Acid Test trending: May 2024: 0.54 ((1,048,099,415.52 - 540,343,306.63) / 910,113,204.75) • April 2024: 0.66 • **Critical:** Ratio below 1.0 indicates potential liquidity strain

Working Capital adequacy analysis: May 2024: 137,986,210.77 (positive) • April 2024: 184,481,139.92 • **Warning:** Working capital decreased by 25% month-over-month

Cash position and runway analysis: May 2024: 217,143,682.86 cash balance • Covers ~0.24 months of current liabilities • **Critical:** Insufficient cash reserves for operational continuity

Net Working Capital changes and drivers: Decreased by 46,494,929.15 primarily due to reduced accounts receivable (240,350,249.35 decrease) and increased other current liabilities

Liquidity coverage ratio: Data unavailable (requires cash flow projections)

Cash conversion efficiency: Data unavailable (requires operating cash flow data)

2. Leverage & Solvency Analysis

Debt-to-Equity ratio trending: May 2024: 2.32 (465,672,686.21 / 201,265,389.74) • April 2024: 2.63 • **Improvement:** Debt reduction contributing to better solvency

Debt-to-Capital ratio analysis: May 2024: 69.8% (465,672,686.21 / (465,672,686.21 + 201,265,389.74)) • High reliance on debt financing

Total Debt composition (secured vs unsecured): Secured: 77.2% (359,612,195.72) • Unsecured: 22.8% (106,060,490.49) • Favorable secured debt concentration

Debt maturity profile: Data unavailable (requires detailed maturity schedule)

Interest coverage ratio: Data unavailable (requires EBIT and interest expense data)

Debt service coverage ratio: Data unavailable (requires cash flow and debt service data)

Fixed charge coverage ratio: Data unavailable (requires fixed charge and EBIT data)

Solvency stress testing: Data unavailable (requires scenario analysis capabilities)

3. Asset Efficiency Analysis

Asset Turnover ratios (total, fixed, current): Data unavailable (requires revenue data)

Fixed Asset utilization trends: May 2024: 394,288,601.53 • April 2024: 396,417,259.28 • Minimal 0.5% decrease month-over-month

Asset age & depreciation analysis: Data unavailable (requires depreciation schedule and asset age details)

Capital intensity metrics: May 2024: Fixed Assets/Total Assets = 25.0% • Moderate capital intensity

Asset productivity per rupee invested: Data unavailable (requires revenue and profit metrics)

Non-current vs current asset mix: May 2024: 33.5% non-current vs 66.5% current • Healthy liquid asset composition

Asset quality indicators: Accounts Receivable decreased 47.9% month-over-month • Inventory decreased 4.5% • **Positive:** Improving receivables collection and inventory management

4. Capital Structure Analysis

Equity composition and changes: May 2024: Share Capital (57.8%), Reserve & Surplus (39.6%), Current Profit (2.5%) • Equity increased 2.0% month-over-month

Reserves & Surplus movements: April 2024: 0 • May 2024: 79,799,448.87 • **Significant:** New reserves established from prior profits

Retained earnings patterns: Current Year Profit decreased from 79,799,448.87 to 5,117,212.44 • **Alert:** Substantial profit decline month-over-month

Capital adequacy metrics: Equity/Total Assets: 12.8% • Below optimal levels for financial stability

Optimal capital structure comparison: Current debt-heavy structure (69.8% debt) vs optimal ~40-60% range • **Suboptimal:** Excessive leverage

Cost of capital analysis: Data unavailable (requires cost of debt and equity calculations)

5. Balance Sheet Quality Metrics

Asset-to-Liability ratios: May 2024: 1.15 (1,577,051,280.70 / 1,375,785,890.96) • Positive coverage but marginal

Equity multiplier: May 2024: 7.84 (1,577,051,280.70 / 201,265,389.74) • **High:** Indicates significant financial leverage

Financial leverage index: Data unavailable (requires ROE and ROA calculations)

Balance sheet strength score: Moderate (based on current ratio, debt levels, and asset

quality)

Red flags identification:

Negative Accounts Payable (-59,139,890.46) indicates potential accounting issues

High debt-to-capital ratio (69.8%) increases financial risk

Quick ratio below 1.0 indicates liquidity concerns

Substantial profit decline month-over-month requires investigation